

Market Overview & Trends

- The sector's Gross Value Added (GVA) stood at **US \$348.53 billion**, which accounted for **19% of India's GVA in FY21**
- According to Cushman & Wakefield's 2021 Global, India has emerged as the **second-most sought after manufacturing destination** across the world
- Around **21.36% of India's total employed population** was working in the industrial sector in FY21
- Index of Industrial Production (IIP)** stood at **121** in June 2021, showing a **13% growth** on a year-on-year basis
- Samsung invested **₹4,825 crores** (US\$ 650.42 million) in moving its mobile and IT display manufacturing plant from China to Uttar Pradesh, receiving special incentives from the state government
- India's Optimus and Taiwan's Wistron** have struck a deal to make mobile devices in India. Optimus will **invest \$200 million** in the next 3-5 years in India to expand their manufacturing base by setting up two plants on the outskirts of Delhi
- Ola** is constructing the **world's largest electric two-wheeler factory** on a 500-acre site in Tamil Nadu's Krishnagiri district with a planned capacity of 10 million units per year

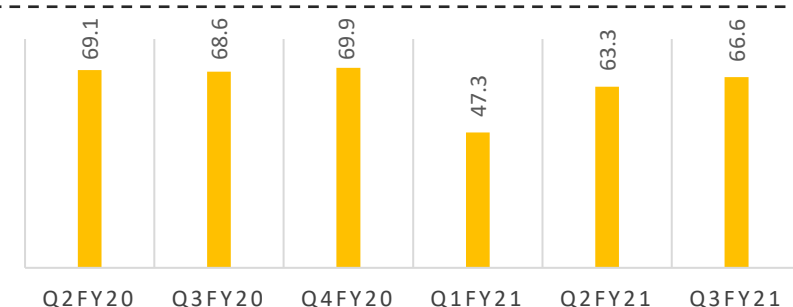
Government Initiatives

- A **Production-linked incentive (PLI)** scheme was launched to establish global manufacturing champions across 13 sectors with an allocation of **₹1.97 lakh crore** (US\$ 27.02 billion) over the next five years
- The **Mega Investment Textiles Parks (MITRA)** scheme aims to build seven world-class Textile Parks over three year
- In March 2021, the government announced funds worth **US\$ 1 billion in cash** to every company setting up a **semiconductor** manufacturing unit in the country
- In May 2020, the government increased the **FDI limit in defence** manufacturing under the automatic route from **49% to 74%**
- A **PLI Scheme** to promote domestic manufacturing of **Medical Devices** was launched by the Department of Pharmaceuticals with a total outlay of **₹3,420 crores** (US\$ 469.63 million) from FY21 to FY28
- The **Government e-Marketplace (GeM)** helps MSME producers to sell directly to the government agencies. It has processed orders worth **₹22,896 crores in FY20**, while the projection for **FY21 is ₹37,000 crore**
- Government came up with the **Defense Production and Export Promotion Policy 2020** to promote self-reliance in defense manufacturing to achieve a turnover of **₹1,75,000 crore**

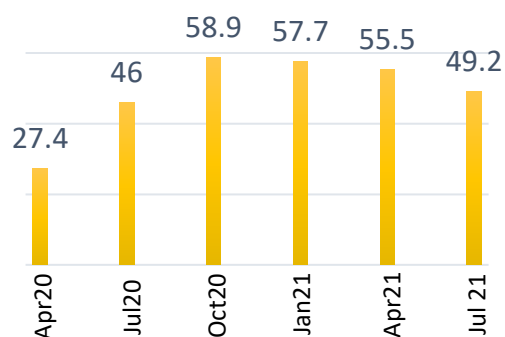
MSME

- Medium and small scale manufacturing units are the **2nd largest employer** in India after agriculture
- The sector's output contributes almost **40% of the GVA**, as well as **45% of the total exports** from India
- As of Dec 2020, **38%** of the MSMEs registered with the **Udayam portal** are manufacturing enterprises
- MSMEs contribute around **33.4% to India's total manufacturing output**

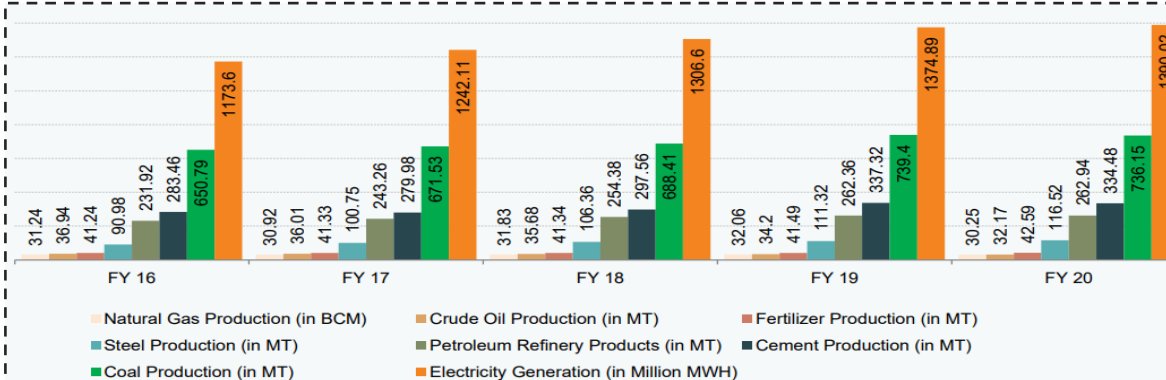
Manufacturing Capacity Utilization



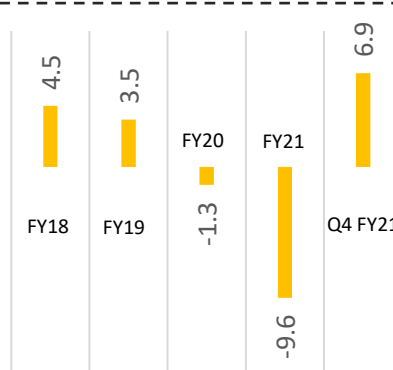
Manufacturing PMI



Production Performance of Eight Core Industries



Growth Rate(%)



Growth Drivers

- Robust Demand
- Government Incentives
- FDI
- Abundant Labour
- Tax Policy

Key Performance Indicators

Throughput

Capacity Utilization

Cash to Cash Cycle Time

Inventory Turnover Ratio

Asset Turnover ratio

Operating Efficiency

Raw Material

Labour

Machinery

Cost Drivers